

**Capitalization weighted** Weighting each stock by the total value of its outstanding stock; larger companies therefore account for a greater portion of a capitalization-weighted portfolio or index.

**Capital market line** Straight line drawn from the point of the risk-free rate to the feasible region of risky assets.

**Cognitive dissonance** Mental conflict and discomfort experienced when presented with evidence that our beliefs or assumptions are wrong.

**Confirmation bias** Tendency to search for and accept information that supports our beliefs while rejecting information that contradicts them.

**Conservatism** To revise one's beliefs insufficiently when presented with new evidence; tendency to find information that agrees with one's existing views while ignoring anything that contradicts them.

**Correlation** Measure of the linear relationship between two variables indicating how things move in relation to each other; values can range from +1 (perfect correlation) to -1 (perfect negative correlation).

**Cross-sectional** Comparing differences between groups at one point in time.

**Curve fitting** Coincidental patterning in historical data that is unlikely to reappear going forward; see also *Overfitting bias*.

**Data mining** Technique for building predictive models by discerning patterns in past data.

**Data snooping** Also known as data dredging or data torturing, the inappropriate use of data mining to uncover misleading relationships; see also *Overfitting bias*.

**Deciles** Splitting data into 10 equal segments.